



Dylan O'Neill's Playbook

The Vix Futures Strategy

Instruments:

Futures

Trading Style:

Swing Trading

Day Trading

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Playbook Overview

This playbook focuses on the Volatility Index (VIX) and how it directly affects the S&P 500 and its futures (ES), as well as how it can be used to understand strength or weakness in the market.

The VIX tells you whether there is pressure on the S&P 500.

- When pressure increases, ES struggles.
- When pressure decreases, ES can push higher.

Because VIX pricing comes directly from SPX options, it gives you a live reading of how much fear or stress exists in the market. And since ES/NQ move closely together, knowing what the VIX is doing lets you understand whether a move in ES or NQ has real power behind it — or if it's likely to fail.

This playbook helps you:

- Understand which side is in control (bulls or bears)
- Avoid getting trapped in fake breakouts and breakdowns
- Know when a move in ES/NQ is real or weak
- Add a reliable confirmation layer to your existing strategy
- Time high-probability continuation moves
- Time high-probability reversal squeezes
- Use previous day highs/lows in a way that actually matters



The Foundation: What the VIX Really Shows

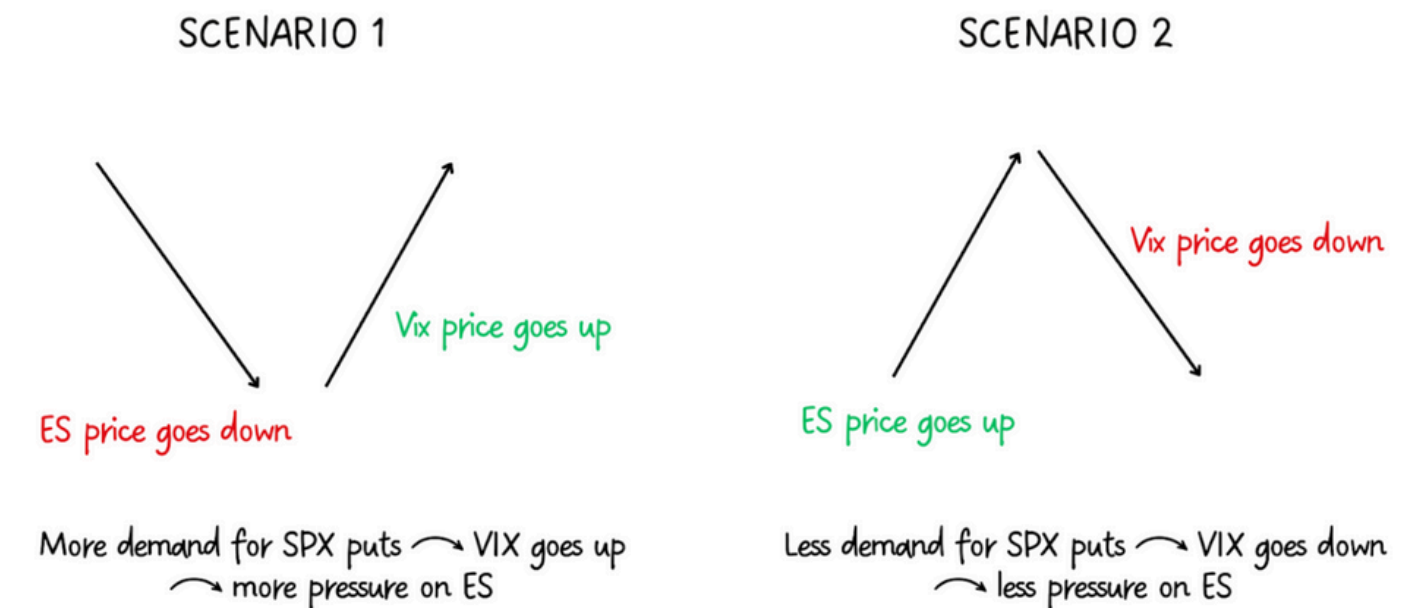
To understand this playbook, you need to understand a few key points:

What the VIX measures

- The VIX is a real-time measurement of expected volatility in the S&P over the next 30 days. It is calculated from SPX options, mainly put demand.
- More put demand → more fear → VIX goes up.

Simple Relationship

- More demand for SPX puts → VIX goes up → more pressure on ES
- Less demand for SPX puts → VIX goes down → less pressure on ES



Why it matters for futures

About 90% of ES volume is algorithms.

- VIX rising triggers sell programs
- VIX dropping triggers buy programs

This is why the VIX often gives a better read on the market than price action alone.

How the VIX Affects ES and NQ

When the demand for S&P puts increases, VIX rises. That rise adds pressure to the S&P. When demand for puts drops, VIX falls, and that takes pressure off. Because ES and NQ tend to move together, you can use VIX movement to get a better understanding of which moves are real and which ones are likely to fail.

A helpful way to think about it is with the analogy Dylan used:

- When VIX is low, ES is like a hiker going up a mountain with no weight. It's easier to climb.
- When VIX is high, ES is climbing with a heavy backpack. It's harder to make progress, and any climb is more likely to fail.

So when VIX is weak and trending down, ES has a better chance of holding support and pushing higher. When VIX is strong and trending up, ES is more likely to struggle, and rallies often fail.

Put simply:

- Weak VIX → easier for ES to go up
- Strong VIX → harder for ES to go up

Using Previous Day Levels With the VIX

Previous day highs and lows become extremely powerful when you combine them with VIX behavior. The way the VIX reacts at the same moment ES or NQ hits these levels can tell you whether a move is likely to continue or fail.

You compare: ES/NQ breaking the previous day's low or high, where the VIX is relative to its previous day's high/low

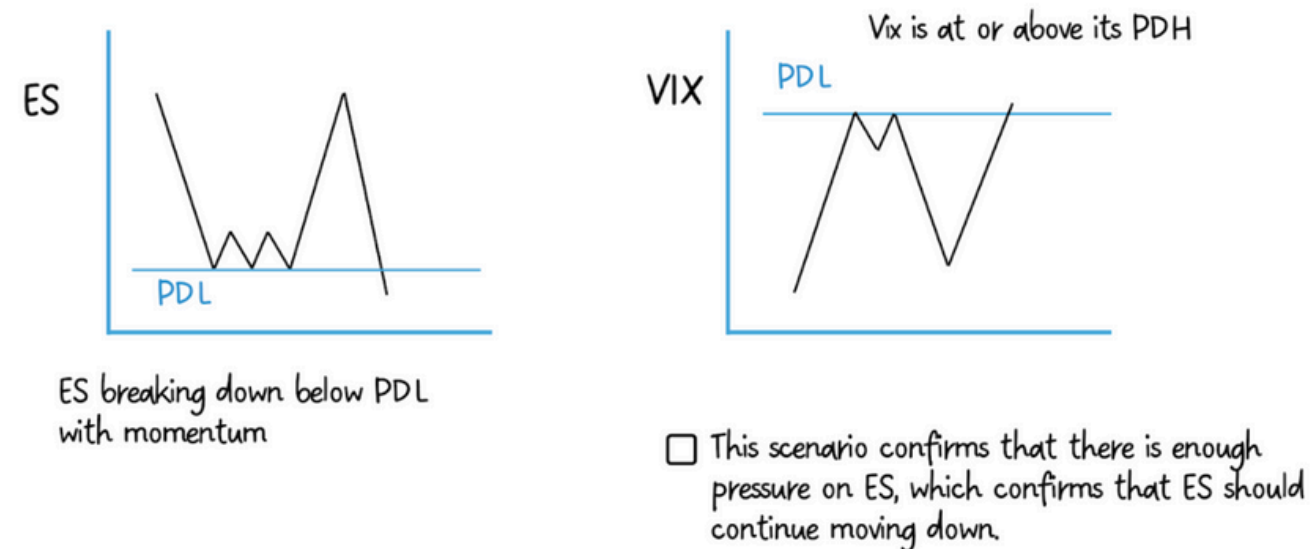
ES Breaks the Previous Day Low, and VIX Confirms

When ES breaks below the previous day's low (PDL), the VIX should normally be rising and sitting at or above its previous day's high. This means:

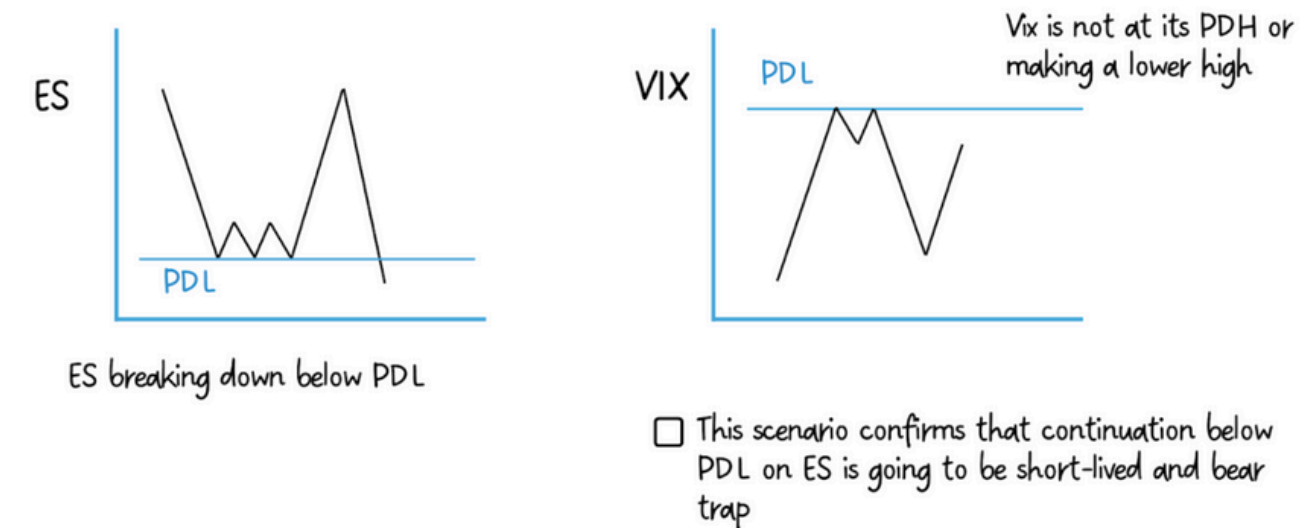
- Put demand is increasing
- Pressure is being added
- The move down has higher odds of continuing

When ES breaks the low and VIX confirms, the downside usually has real strength behind it.

ES Breaks the Previous Day Low, and VIX Confirms



ES Breaks the Previous Day Low, and but VIX doesn't Confirm



ES Breaks the Previous Day Low, but VIX Does Not Confirm

If ES breaks below the PDL, but the VIX is not doing its part — meaning:

- The VIX is not at its previous day high
- The VIX is making a lower high instead of a higher high

This tells you:

- The pressure is not there
- Institutions are not aggressively hedging
- The breakdown has a good chance of failing
- ES often snaps back above the level, trapping shorts

This is one of the simplest ways to avoid shorting a fake breakdown.

ES Breaks the Low While VIX Is Weak and NQ Is Strong

When ES breaks below the previous day's low, you want to see the VIX confirming that move.

If it doesn't, the breakdown is usually weak.

Here's the simple version:

- ES breaks below the previous day's low
- NQ holds above its own low or makes a higher low
- VIX is weak and not at its previous day's high

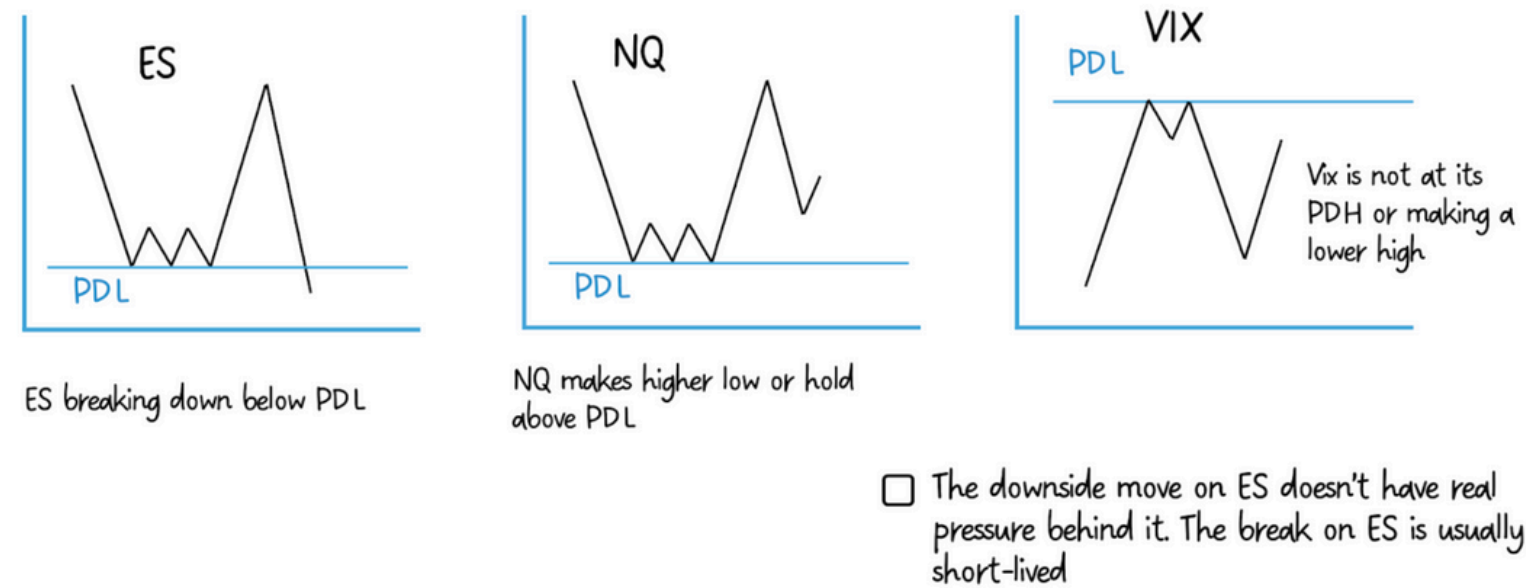
What that means:

- The downside move on ES doesn't have real pressure behind it
- NQ is showing relative strength
- The break on ES is usually short-lived

What ES normally does next:

Once ES gets back above the previous day's low, it often snaps back up and squeezes higher because the breakdown didn't have proper confirmation.

ES Breaks the Low While VIX Is Weak and NQ Is Strong



ES and NQ Both Break the Low While VIX Is Strong

When ES breaks below the previous day's low, the move is only meaningful if the VIX supports it.

If both ES and NQ break their lows and the VIX is strong, the downside usually has real power.

Here's the simple version:

- ES breaks below the previous day's low
- NQ also breaks below its previous day's low
- VIX is strong and at or above its previous day's high

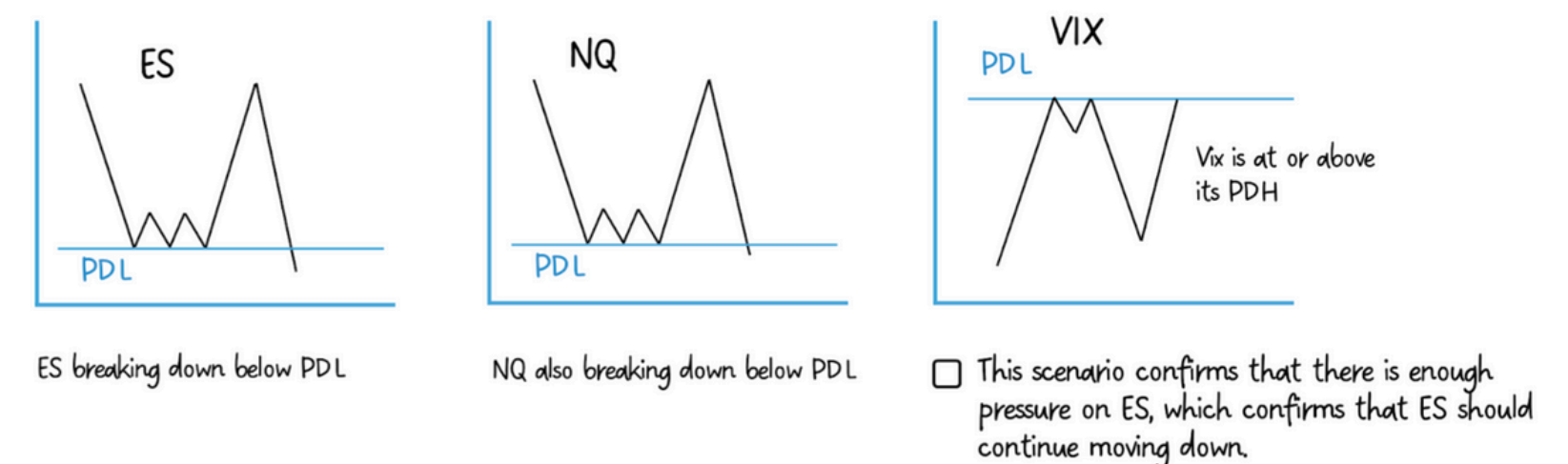
What that means:

- Put demand is increasing
- Pressure is being put on the market
- Sellers are in control
- The move has a higher chance of continuing lower

What ES normally does next:

ES usually keeps moving down rather than reversing, because everything is moving in sync: ES is weak, NQ is weak, and the VIX is confirming the pressure.

ES and NQ Both Break the Low While VIX Is Strong



When the VIX Moves First

Sometimes the VIX reaches its previous day's high before ES or NQ breaks their previous day's lows.

This shows that pressure is building early.

What this means:

- The demand for S&P puts is increasing
- Institutions are expecting near-term turbulence
- Sell programs can start triggering before ES moves
- The VIX is giving a “head start” signal that the downside is coming

Why it matters:

Even if ES hasn't broken the previous day's low yet, the rise in the VIX tells you that when it does break, the move has a higher chance of continuing. This makes VIX a leading indicator in certain moments.

Using VIX Support and Resistance

The VIX reacts to support and resistance the same way any price chart does. When it reaches an important area, ES often reacts at the same time.

When VIX hits support:

- The VIX can bounce
- A bounce adds pressure to ES
- ES tends to struggle or turn lower if it's near resistance

When VIX hits resistance:

- The VIX can turn down
- Pressure is removed from ES
- ES has an easier time holding support or pushing higher

Pairing VIX support with ES resistance — or VIX resistance with ES support — creates strong turning points

The 1% Rule

A simple rule helps identify when something is “off.”

If ES is up 1% or more and the VIX is also up 1% or more:

- Pressure is rising while ES is rising
- ES strength becomes fragile
- Moves into resistance are more likely to fail

If ES is down 1% or more and the VIX is also down 1% or more:

- Pressure is being removed
- ES weakness is fragile
- Support is more likely to hold

This rule helps avoid chasing extended moves.

The VIX Natural Floor at Major Highs

At all-time highs or major multi-year highs, the VIX often reaches a “natural floor.”

When the VIX gets extremely low:

- Put options become very cheap
- Fund managers hedge more aggressively
- The VIX can rise even if ES is still holding up

Because of this, a rising VIX at all-time highs doesn't always mean ES is about to break down. Context from ES levels is needed when the market is in uncharted territory.

Pros and Cons of the Strategy

This playbook is designed to deliver high-quality, repeatable setups — but like any trading strategy, there are key things to understand before using it.

Note: The cons listed here aren't disadvantages. They are things to be aware of — important characteristics that require patience, discipline, and proper management to make the strategy work effectively.



Pros

- Helps identify which side has control
- Makes previous day levels far more meaningful
- Filters out weak breakdowns and fakeouts
- Confirms when a move has real strength
- Works on all timeframes
- Adds clarity to ES/NQ movement
- Offers early warning when pressure is building



Cons

- Requires watching multiple charts
- Needs matching timeframes across ES, NQ, and VIX
- Can give false signals at all-time highs
- Requires some discretion
- Must avoid taking the same trade on multiple instruments

Trade Breakdown

Long VIX Futures at Contract Lows

This setup formed when the VIX reached a key support level at the exact same time the S&P was failing to break out at all-time highs. When those two conditions line up together, the imbalance in pressure creates a clear opportunity.

VIX Forms a Double Bottom at Contract Lows

The VIX futures contract had a well-defined contract low near 16.8.

Price returned to this level and formed a double bottom, showing that volatility had likely reached a floor for that contract.

A double bottom at a contract low signals:

- Volatility has limited room to fall
- A bounce in VIX is highly possible
- A bounce would add pressure onto ES



ES Fails a Breakout at All-Time Highs

At the same time, VIX was testing its contract low, ES was struggling to break through its all-time high area.

This failure showed:

- Sellers were active at the highs
- Buyers could not sustain momentum
- If volatility rose, ES would likely pull back



A Recent Pattern Was in Play

There was a recurring pattern in the market at this time: The S&P had sold off on **four of the previous five Fridays**

The VIX bounce occurred on **Thursday**, heading directly into another Friday session where selling pressure had been common.

This pattern added helpful context:

- The market had been showing weakness at the end of the week
- A volatility bounce the day before increased the chance ES would struggle again



Why This Setup Was Worth Taking

With:

- VIX forming a double bottom at contract lows
- ES failing at all-time highs
- A recent pattern favoring end-of-week selling
- A clean time-of-day alignment

These conditions created a clear imbalance. A bounce in VIX here would naturally push ES lower.

Combining VIX support and ES resistance created an edge worth putting risk on.

The Result

The long VIX futures trade delivered a 6:1 R outcome.
The core components of the setup:

- VIX bounced strongly from contract lows
- ES rolled over as pressure increased
- The move aligned cleanly with the broader context



This example shows how powerful the system becomes when VIX support and ES resistance line up together.

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